
CONTACT INFORMATION	Finance Department Gies College of Business 1206 S Sixth Street Champaign, IL 61820	+1 (217)417-2194 yz33@illinois.edu Personal Website Department Website
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EDUCATION **University of Illinois Urbana-Champaign**

Ph.D. candidate, Finance 2027 (Expected)

M.S., Finance (with honors) 2019

Jilin University, China

B.A., Economics 2018

RESEARCH INTERESTS Macro-Finance, Asset Pricing, Monetary Policy, Machine Learning

JOB MARKET PAPER **A Macro-Finance Model of Capital Reallocation and Misallocation**

Selected Presentations: AFA Ph.D. 2027, FMA Doctoral Student Consortium 2026, Economics Graduate Student Conference 2026, NSE PhD Workshop

I quantitatively study the efficiency in capital allocation and financial markets jointly in a general equilibrium model with heterogeneous investors. Leveraged intermediaries allocate wealth across sectors that differ in productivity and risk exposure, and face state-dependent margin constraints. I find that efficiency in financial markets and allocative efficiency in capital are mutually reinforcing. Three forces drive this result. First, efficient capital allocation in the presence of sectoral dispersion requires strong financial balance sheets and efficient risk sharing, and reflects risk-adjusted costs of capital. Second, binding constraints during downturns distort risk sharing among investors and raise risk premia, setting the stage for capital misallocation. Third, the resulting inefficiency in capital composition further affects valuations and growth through risk sharing among investors in constrained states. The mechanisms thus create a feedback loop between efficiency in capital allocation and efficiency in financial markets.

WORKING PAPERS **The Equity Constraint Channel of Monetary Policy** [SSRN](#)
(with Heitor Almeida, Timothy Johnson, Sebastiao Oliveira)

Selected Presentations: EFA 2026, FIRS 2026, SFS Cavalcade 2026, WFA 2025

We show that financially constrained firms that rely on equity at the margin endure larger stock-price declines and deeper cuts in capital expenditures, R&D, and patenting after contractionary monetary policy shocks. We explain these findings with a model where equity and debt markets are partially segmented and contractionary shocks raise the cost of equity more than debt. Price-sensitive investors withdraw from the equity market after tightening, and amplification concentrates in constrained firms with greater ex-ante ownership by price-sensitive investors. Our findings suggest that equity frictions are central to understanding the transmission of monetary policy to the corporate sector.

Beliefs Heterogeneity and the Equity Term Structure [SSRN](#)

(with Hamilton Galindo Gil)

Selected Presentation: SFS Cavalcade 2025

What is the role of belief heterogeneity in shaping the equity term structure? We address this question by developing a general equilibrium model with habit formation in consumption and heterogeneity in both risk aversion and beliefs about the expected growth rate of the aggregate endowment. We demonstrate that the effects of belief heterogeneity are countercyclical: they increase equity yields during recessions and reduce them during expansions. These effects are more pronounced for short-term assets than for long-term ones. We then examine the role of diagnostic beliefs and show that the overreaction parameter raises equity yields across maturities, with particularly strong effects on short-term maturities during expansions. Our findings highlight the significant influence of belief heterogeneity in shaping the equity term structure.

Rates Up, Balances Up: Uneven Monetary Transmission in Consumer Credit Markets [SSRN](#)

(with Viraj Chordiya, Divij Kohli, Justin Mohr)

Selected Presentations: FMA 2026, Boulder Summer Conference 2026

What happens to consumer borrowing when interest rates rise? Standard intuition suggests that higher rates reduce borrowing by raising borrowing costs and tightening cash flow. We show that, over medium horizons, the opposite can occur. Using a representative panel of consumer credit records, we estimate dynamic responses of household debt to interest rate changes. A 25 basis point increase in the 1-year rate raises total consumer debt by about 2% over three years (\$1,539). These effects are highly uneven across households. Debt increases are concentrated among financially constrained borrowers, while high-credit-score consumers show little to no response. Additional evidence is consistent with an indirect channel: monetary tightening weakens labor-market income, and more exposed households respond by relying more on credit. Our results show that contractionary monetary policy can increase indebtedness among vulnerable households, highlighting an important distributional dimension of monetary transmission.

WORK IN
PROGRESS

Huggett Meets Epstein-Zin in Continuous Time [SSRN](#)

(with Hamilton Galindo Gil, Ji Huang)

We extend the Huggett model to include recursive preferences, and show that the elasticity of intertemporal substitution (EIS) plays a crucial role in shaping wealth and consumption distributions, while relative risk aversion (RRA) plays a marginal role. Our model is characterized by wealth and income heterogeneity among agents, incomplete markets, and separation between RRA and EIS, providing a baseline framework for macro-finance models in continuous time.

Macroprudential Policy, Balance Sheets, and Tail Risk [SSRN](#)

This paper quantitatively analyzes macroprudential policy in a general equilibrium model where financial intermediaries hold levered positions in productive capital, subject to Value-at-Risk (VaR) constraints. I show that tighter constraints mitigate tail risk, but simultaneously increase the overall volatility of the financial system when constraints bind. Tighter constraints reduce frequency of the crises but prolong their duration.

Transmission of Productivity Shocks: Implications from a Two-Sector Economy

I develop a two-sector general equilibrium model to study how sectoral shocks propagate through investment and capital reallocation. Differences in the persistence and nature of sectoral risks generate distinct responses of aggregate quantities and asset prices.

SEMINARS & **2027** (incl. scheduled)

CONFERENCES AFA Ph.D. Poster

2026 (incl. scheduled)

FMA Doctoral Student Consortium; FMA ($\times 2$); Economics Graduate Student Conference; NSE PhD and Postdoctoral Workshop; EFA*; CICF; UIUC Gies ($\times 2$); UIUC Macro*; FIRS*; SFS Cavalcade; Boulder Summer Conference on Consumer Financial Decision Making*;

2025

AFA Ph.D. Poster; MFA*; SFS Cavalcade; WFA; Baylor University*; University of Maryland*; Cal Poly University*; LuBraMacro*;

2022-2024

SWFA; FMA Applied Finance; FMA Asia; University of São Paulo*; FMA; SFA*; UIUC Gies ($\times 2$);

* Indicates co-author presentation

SERVICE

Referee

Journal of Empirical Finance, Quarterly Review of Economics and Finance, Journal of Corporate Finance

Discussion

Kiselev, “Macroeconomic Effects of Property Rights Enforcement: Evidence from Sovereign Spreads”

Li, Kogan, and Qiao, “Asset Growth Effect and Q Theory of Investment”

Menze, Beckmann, Beckmeyer, Zhou, and Filippou, “Unusual Financial Communication: ChatGPT, Earnings Calls and Financial Markets”

TEACHING

Teaching Assistant, Empirical Analysis in Finance (Ph.D., 2024, 2025, 2026)

UIUC

Teaching Assistant, Financial Risk Management (Graduate, 2026)

UIUC

Instructor, Heterogeneous Agent in Asset Pricing Summer School (2025)

CSU

Teaching Assistant, Corporate Finance (Undergraduate, 2022-2023)

UIUC

Teaching Assistant, Personal Wealth Management (Undergraduate, 2019)

UIUC

Teaching Assistant, FinTech (Graduate, 2019)

UIUC

HONORS AND AFA Ph.D. Travel Grant

2027, 2025

AWARDS

Sheth Fellowship Award

2026

Richard A. Erley Fellowship Award

2025

UIUC Graduate College Conference Travel Grant

2024

Joseph E. Zwislser and Ouida Wald Zwislser Summer Doctoral Fellowship

2023

	Greg Gulick Honorary Research Award	2021
	Department of Finance Doctoral Fellowship	2020-2025
	Jilin University Fellowship	2017
ADDITIONAL	Heterogeneous Agent in Asset Pricing Summer School (Participant)	2024
	UIUC Finance Ph.D. Reading Group (Co-organizer)	2022-2024
	Econometric Society Summer School (Participant)	2023
	CEMFI Macroeconomics Summer School (Participant)	2023
	Macro Finance Society Summer School (Participant)	2021-2023
	Demand System Asset Pricing Workshop (Participant)	2022
	Mitsui Center Summer School on Structural Estimation (Participant)	2021
LANGUAGES	English, Mandarin; R, Python, Julia, MATLAB, L ^A T _E X, STATA	
REFERENCES	Heitor Almeida Professor of Finance +1 (217)333-2704 halmeida@illinois.edu	Victor Duarte Assistant Professor of Finance +1 (217)300-8467 vduarte@illinois.edu
	Mahyar Kargar Associate Professor of Finance +1 (217)300-7640 kargar@illinois.edu	Neil Pearson Professor of Finance +1 (217)244-0490 pearson2@illinois.edu
	<i>All references: Gies College of Business, University of Illinois Urbana-Champaign</i>	